Ch. 6 Non-Textbook Questions

Principles of Microeconomics

June 29, 2026

1. The market for an hour of tutoring is defined by the following supply and demand curves:

$$Q_D = 2,500 - 3P$$
$$Q_S = 5P - 100.$$

   If the government implements a price ceiling of $300, how much does the quantity of tutoring decrease?

2. The market for uber rides is defined by the following supply and demand curves:

$$Q_D = 150 - 5P$$
$$Q_S = 5P$$

   (a) If the government implements a price floor of $20, how much does the quantity of uber rides decrease?

   (b) If instead the government levied a $2 tax on uber drivers for ever ride sold, how much would the quantity of rides decrease?

   (c) If instead the government levied a $2 tax on uber riders for every ride bought, what would the incidence of the tax be? Please answer in percentages.

3. The market for a gallon of gas is defined by the following supply and demand curves:

$$Q_D = 600 - 150P$$
$$Q_S = 200P - 100$$

   The government implements a tax of $0.875 per gallon of gas sold on buyers.

   (a) What is the pre-tax equilibrium price and quantity in this market?

   (b) After the tax, what is the price consumers pay and the price producers receive?

   (c) What is the after-tax equilibrium quantity in this market?

4. Let's put in a quantitative labor market question.